ADNOC GAS OPERATIONS & MARKETING LLC

AUDIT PROCEDURE

EPCm CONTRACT NO.: 3000076501
ADNOC GAS PROJECT NO.: 30201-50150-LT-HE

LONG TERM - EXECUTE STAGE

PROJECT 5.0 (P5)

EPCm FOR HABSHAN DBN

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TABLE OF CONTENTS

1.0 INTRODUCTION 5
1.1 BACKGROUND 5
1.2 LONG TERM EPCM PROJECT OBJECTIVES 5
1.3 SCOPE BATTERY LIMIT 6
2.0 PURPOSE OF THIS DOCUMENT 6
3.0 ORDER OF DOCUMENT PRECEDENCE 6
4.0 REFERENCE, CODES AND STANDARDS 7
4.1 REFERENCE DOCUMENTS 7
4.2 ADNOC STANDARDS 8
4.3 INTERNATIONAL CODES AND STANDARDS 8
5.0 DEFINITIONS 8
5.1 GENERAL DEFINITIONS 8
5.2 TECHNICAL DEFINITIONS 9
5.3 ABBREVIATIONS 11
6.0 ROLES & RESPONSIBILITIES 12
6.1 PROJECT MANAGEMENT, ENGINEERING MANAGEMENT, PROCUREMENT MANAGEMENT, CONSTRUCTION MANAGEMENT, COMMISSIONING MANAGEMENT, HSE MANAGEMENT & QUALITY MANAGEMENT (AS APPLIABLE) 12
6.2 PROJECT QUALITY ASSURANCE MANAGER 12
6.3 LEAD AUDITOR / AUDIT TEAM LEADER 12
6.4 AUDIT TEAM MEMBERS 13
6.5 AUDITEE 13
6.6 OBSERVER 14
7.0 PROPOSED AUDITS 14
7.1 INTERNAL AUDITS 14
7.2 TECHNICAL AUDITS 15
7.3 CONSTRUCTION CONTRACTOR / SUBCONTRACTOR AUDITS 15
7.4 VENDOR AUDITS 15
7.5 AUDITS BY COMPANY 16
7.6 AUDITS BY INDEPENDENT THIRD PARTY 17
7.7 CORRECTION AND CORRECTIVE ACTION 17
7.8 AUDIT AGENDA 18
7.9 AUDIT PLAN 18
7.10 AUDIT NOTIFICATION 18
7.11 OBJECTIVES 19
7.12 SCOPE AND CRITERIA 19
7.13 SELECTING THE AUDIT TEAM 19

7.14 ESTABLISHING INITIAL CONTACT WITH THE AUDITEE 20
7.15 CONDUCTING THE DOCUMENT REVIEW 20
7.16 AUDIT EXECUTION 20
7.17 PREPARING AUDIT CONCLUSIONS 22
7.18 CONDUCTING THE CLOSING MEETING 22
7.19 AUDIT REPORT 23
7.20 PREPARING THE AUDIT REPORT 23
7.21 APPROVING AND DISTRIBUTING THE AUDIT REPORT 24
7.22 ACTION FOLLOW-UP AND CLOSE OUT 24
7.23 AUDIT ANALYSIS 24

8.0 APPENDIX 24

APPENDIX-01 AUDIT SCHEDULE (STANDALONE DOCUMENT) 25

NOTE- Audit schedule is live document, will be updated as and when required 25

APPENDIX-02 AUDIT REPORT FORMAT 26

LIST OF TABLES

Table 4-1: Reference Documents 7
Table 4-2: ADNOC Standards 8
Table 4-3: International Codes and Standards 8
Table 5-1: General Definitions 8
Table 5-2:Technical Definitions 10
Table 77-1: Schedule of Audit 14

HOLD LIST

PARAGRAPHS HOLD IN THIS ISSUE			
Hold No.	Section / Para No.	Page No.	Holds Description
			None

1.0 INTRODUCTION

1.1 BACKGROUND

ADNOC aims to increase oil production to produce 5.0 MMBOPD by year-end 2027. Accordingly, associated gas production is anticipated to increase. Also, to meet the future oil and gas demand, non-associated gas developments are considered. Hence, the overall gas supply scenarios for major ADNOC Gas (hereafter referred to as COMPANY) assets i.e., Das Facilities, Bab and Habshan Complex (Habshan 0, 1, 2, 4, and 5), Asab and Bu Hasa, is anticipated to change depending on their feed sources, profiles including rates, compositions, and operating conditions. These changes will also subsequently impact the COMPANY downstream facilities, particularly, products handling and transferring facilities i.e., Sales Gas Network, NGL Pipeline Network, Ruwais Fractionation Trains (1, 2, 3, 4 and upcoming new Train 5 part of Bab Cap Gas SELECT Study), Sulphur Handling Facilities, and Condensate systems, etc.

COMPANY has carried out the Long Term DEFINE for the project with M/s Amec International Ltd. (M/s Wood) and subsequently decided to proceed with Long Term EXECUTE phase execution to ensure the readiness of COMPANY facilities to accommodate increased gas supply by December 2027.

Accordingly, COMPANY has awarded EPCm contract to M/s Amec International Ltd. (M/s Wood) to carry out the Long Term scope requirements. M/s Wood shall act as a single entity in the performance of the services and a single point of accountability to ADNOC Gas for the successful completion of Long Term EXECUTE phase.

1.2 LONG TERM EPCM PROJECT OBJECTIVES

The main objective of the Long Term EPCm is to execute the Habshan DBN Project to support ADNOC to achieve oil production target of 5.0 million BOPD so that Associated and Non-Associated Gas can be processed within the overall processing capacity of Habshan. The Long Term EPCm scope includes the following major areas as a minimum:

1. Habshan Complex (H0, H1 Train 1/2, H2, H4, H3 for SS-300 Tie-in)
2. Bab CDS and Bab NGL
3. Habshan 5
4. Pipeline scope activities including below new pipelines
   I. Bab CDS to Habshan Complex HP pipeline
   II. Bab CDS to Habshan Complex MP pipelines (2 no.s)
   III. Habshan 5 to Habshan 2 pipeline

The scope also includes adequacy checks for Ruwais NGL Fractionation Trains, MERAM,

Habshan Sulphur Granulation Plant, Sales gas, NGL, Condensate and interconnecting Pipeline network and Utilities for all impacted AG facilities.

The Long Term EPCm scope includes the following major activities as a minimum:

1. Detailed Engineering and design services
2. Procurement Services
3. Construction Management services
4. Pre-commissioning, Commissioning, Start-up services
5. Final documentation handover and Project close-out

Project also involves major interface activities with other on-going projects. Refer Project Interface management plan (Doc Num: PP-30201_50150_LT_HE-GG-000-50-00-006) for complete list of interface projects.

1.3 SCOPE BATTERY LIMIT

Refer Design Basis (Doc Num: BOD-30201_50150_LT_HE-GG-000-00-00-001) for the scope battery limits, Gas allocation and detailed Design basis.

2.0 PURPOSE OF THIS DOCUMENT

The purpose of this procedure is to define the minimum requirements all Audit activity, scope of this procedure includes Internal Audits, Technical Audits, Vendor Audits, Construction contractor Audit, Third party Audit, Focus audits on critical processes and COMPANY Audit to ensure the Audits planned are reflective of risk Audits undertaken are a value adding activity to the business and our customers, Audits are executed by suitably competent resources. This Audit procedures are the techniques, processes, and methods that Auditors use to obtain reliable Audit evidence

3.0 ORDER OF DOCUMENT PRECEDENCE

In the event of any conflict between the applicable documents, the order of precedence shall be as follows:

1. UAE Statutory Legislation and Environmental Regulations
2. ADNOC HSE Regulations, HSE Standards and HSE Code of Practice
3. Data Sheets
4. Design Basis
5. Project Specifications and addendum to AGES / DGS (Note-1)
6. COMPANY Standards / Specifications and AGES / DGS (Note-1)

7. International Codes and Standards

Note-1 AGES Addendum/AGES shall be considered wherever AGES addendum/AGES is available. DGS Addendum/DGS shall be considered only in case AGES Addendum/AGES is not available.

However, in case of conflict between the various specifications, standards and the requisition, most stringent requirements shall govern. EPCm CONTRACTOR/VENDOR shall refer any such conflict, and any other matter, which requires further interpretation, to the attention of COMPANY and COMPANY's interpretation shall be final. Resolution of any conflict shall be obtained from COMPANY in writing before proceeding.

Any deviation from COMPANY standard accepted in the existing facility design shall not be considered as basis for this PROJECT design and any deviations shall be submitted to COMPANY for approval before proceeding.

4.0 REFERENCE, CODES AND STANDARDS

4.1 REFERENCE DOCUMENTS

Table 4-1: Reference Documents

Sl. No.	Document Number	Document Title
1.	PP-30201_50150_LT_HE-GG-000-51-00-001	Project Quality Plan
2.	PP-30201_50150_LT_HE-GG-000-51-00-003	Non-conformance Procedure
3.	PP-30201_50150_LT_HE-GG-000-51-00-005	Inspection Management Procedure
4.	PP-30201_50150_LT_HE-GG-000-51-00-004	Construction Quality Plan
5.	PP-30201_50150_LT_HE-GG-000-50-00-001	Project Execution Plan
6.	QUA-PRO-110163	Audit Procedure (Wood BMS)
7.	QUA-TEM-110035	Audit Report Template
8.	QUA-PRO-110154	Non-Conformity Investigation Procedure
9.	QUA-PCM-100011	Control of Non-Conformance Process Map
10.	QUA-PCM-100013	Improvement Actions Process

4.2 ADNOC STANDARDS

Table 4-2: ADNOC Standards

Sl. No.	Document Number	Document Title
1.	AGES-GL-13-001	Contractors QA/QC Requirement
2.	AGES-SP-13-002	Procurement Inspection and Certification Requirement in Projects

4.3 INTERNATIONAL CODES AND STANDARDS

Table 4-3: International Codes and Standards

Sl. No.	Document Number	Document Title
1.	ISO 9000:2015	Quality management systems – Fundamentals and vocabulary
2.	ISO 9001:2015	Quality Management System Requirements
3.	ISO 9004:2018	Guidance to achieve sustained success
4.	ISO 10005:2018	Guideline for Quality Plan
5.	ISO 10006:2017	Guidelines for Quality Management in Projects
6.	ISO 19011:2018	Guidelines for Auditing Management Systems

5.0 DEFINITIONS

5.1 GENERAL DEFINITIONS

For this document, the following general definitions are applicable.

Table 5-1: General Definitions

DEFINITION	DESCRIPTION
COMPANY	ADNOC GAS (AG) for whom the SERVICES are being performed by the EPCm CONTRACTOR.

DEFINITION	DESCRIPTION
EPCm CONTRACTOR	Amec International Limited – Abu Dhabi (WOOD) appointed by COMPANY to perform Engineering, Procurement, Construction management, Pre-Commissioning and Commissioning stage for Long Term Solution (under EXECUTE phase).
FACILITIES	Habshan Complex (H0, H1 Train 1/2, H2, H4, H3 for SS-300 Tie-in), Bab CDS, Bab NGL, Habshan 5 and interconnecting pipelines.
LICENSOR	Supplier of packaged units and responsible for the operating and design performance.
MANUFACTURER/ VENDOR/ SUPPLIER	The Party (parties) which manufactures and/or supplies material, equipment, technical documents or drawings and/or services to perform the duties specified by the COMPANY
PMC	Project Management Consultant appointed by COMPANY for the PROJECT
PMT	Project Management Team
PROJECT	PROJECT 5.0 (P5), Long Term EPCm for HABSHAN DBN
SERVICES	The scope of work to be completed during the EXECUTE stage (EPCm) of the PROJECT.
VENDOR	The party(s) which manufactures and/or supplies piping, equipment and services to perform the duties specified
SHALL	The use of the word “shall” indicate a mandatory requirement
SHOULD	The use of the word “should” indicate a strong recommendation to comply with the requirements of this document
EPCm CONSTRUCTION CONTRACTOR	Subcontractor appointed by EPCm CONTRACTOR to carry out Construction works at site for respective construction packages.
SUB-CONTRACTOR	The COMPANY approved party, which carries out services subcontracted by EPCm CONTRACTOR.

5.2 TECHNICAL DEFINITIONS

For this document, the following technical definitions are applicable.

Table 5-2:Technical Definitions

DEFINITION	DESCRIPTION
Acid Gas	A gas stream containing predominantly H_2S and/or CO_2 from an Acid Gas Removal Unit
Condensate	A hydrocarbon liquid stream containing Pentane+ compounds
Dehydrated Gas	A gas stream that has been dehydrated to remove water
Dry Gas	A gas stream containing no liquids at flowing conditions, but which may still contain water and hydrocarbons that will fall out if there is a change in flowing conditions.
Feed Gas - Associated Gas	A Gas stream that is produced from an oil well during the extraction of crude oil.
Feed Gas – Non-associated Gas	Hydrocarbon gas originating from gas reservoirs.
GMP 2023	Gas Master Plan 2023
Lean Gas	Lean nature of gas is defined based C2+ in the gas stream. If C2+ is less than 15% then stream is defined as Lean gas
Mixed Feed Gas Stream	Mixed associated and non-associated gas stream
NGL	A liquid stream with primarily C2, C3, C4 and some C5+ compounds.
Rich Gas	Rich gas is defined based C2+ in the gas stream. If C2+ is more than 15% it is considered rich gas
Sales Gas	Residue gas sent to the Sales gas network.
Sour Gas	A gas stream containing significant amounts of H_2S and/or CO_2.
Sustainable Profile (GMP 2023)	GMP 2023 High Supply Scenario – unconstrained oil production from GMP Guidelines Document from all associated gas fields

DEFINITION	DESCRIPTION
Sweet Gas	A gas stream in which the H_2S and CO_2 are not present in significant amounts.
Technical Profile	AON provided profile for technical case for associated gas.
Technical Optimized case	The ADNOC Gas facilities (Das, Asab-0/3, Buhasa, Ruwais, associated pipelines) will be sized to accommodate technical rates from associated gas fields. Habshan facilities will be sized to accommodate technical rate from all associated gas fields (Bab, Buhasa, NEB, Offshore) but not simultaneously. All inlet facilities / inlet compression shall be designed for technical rate.
Unconstrained Production Profile / High Supply Scenario	This shall be based on Upstream's OPEC Unconstrained Oil production case. This scenario corresponds to sustainable projects profiles

5.3 ABBREVIATIONS

ADNOC	Abu Dhabi National Oil Company
AGP	ADNOC Gas Processing
AGES	ADNOC Group Engineering Specifications
AON	ADNOC Onshore
BMS	Business Management System (Wood)
CAR	Corrective Action Report
EPCm	Engineering Procurement and Construction Management
GEC	Global Execution Centre
ISO	International Organization for Standardization
KPI	Key Performance Indicator
MOM	Minutes of Meeting
NCR	Non-Conformance Report
NC	Non-Conformance / Non-Conformity
PQP	Project Quality Plan

QA/QC	Quality Assurance and Quality Control
ATRAC	Wood Global Tool for tracking and managing all planned assurance activities
UAE	United Arab Emirates

6.0 ROLES & RESPONSIBILITIES

6.1 Project Management, Engineering Management, Procurement Management, Construction Management, Commissioning Management, HSE Management & Quality Management (as appliable)

a) Accept Audit terms of reference.

b) Provide necessary logistical arrangements.

c) Provide suitable resources to support the audit execution by way of auditees.

d) Approve Audit report and assigned action parties and close out date.

e) Monitor the progress against Audit actions.

f) Approve completed actions and intervene where actions are overdue.

g) Attend and reaffirm the importance of the Audit in the Audit opening and Close out meetings and ensure the timely close out of Audit findings.

h) To support or escalate closure of actions

6.2 PROJECT QUALITY ASSURANCE MANAGER

a) Defining and maintaining a risk-based project audit program, obtaining formal agreement on its suitability with Project leadership, including resourcing the plan and ensuring audit activities are planned and maintained in ATRAC

b) Establishment of Project Quality Audit function and assuring its effectiveness.

c) The development, implementation, and maintenance of the Annual Project Master Audit Schedule.

d) Assignment of Audit Team Leader.

e) Approval of Audit Report as applicable.

f) Ensuring that Audit action tracking system is established and implemented.

6.3 LEAD AUDITOR / AUDIT TEAM LEADER

a) Preparation of project(s) Audit plan(s) / checklists.

b) Writing and finalizing the Audit Report.

c) Ensure Audit follow up if applicable.

d) Selection and Orientation of the Audit Team members.

e) Coordination with applicable resources to support the Audit.

f) Establish the Audit program, e.g. terms of reference, objectives, Audit resources.

g) Make initial contact with the project to initiate the Audit.

h) Ensuring the conduct of Audit according to the Audit program.

i) Ensure the control of records and Audit activities.

j) Ensure review and approval of Audit report.

k) Identifying the potential risk and opportunities if any for improvement of the system during the Audit.

l) Regularly maintain / update audit cases within the ATRAC system to reflect progress.

m) Ensure audit findings are agreed, recorded in ATRAC

6.4 AUDIT TEAM MEMBERS

a) Support the Audit Team Leader to achieve the Audit Objectives successfully within the planned time.

b) Assure their dedication/availability during the course of the Audit.

c) Conduct the assigned responsibility / part of the Audit.

d) Provide the findings relevant to their Audited part and identify the potential risk & opportunities for improvement.

e) Cooperate with the Audit Team Leader if he assigns any member to coordinate the meetings, consolidate the feedback from other members or draft the report.

6.5 AUDITEE

An Auditee is an organization as a whole or parts thereof being Audited.

a) Comply with the Audit process as per the Audit Plan.

b) Facilitate the Audit and provide all required support and evidence as per Auditor Request for successful Audit execution.

c) Provide full HSE guidance and all required accessibility to the Auditors.

d) Ensure availability of the Auditee Team as per the Audit plan and provide all information requested by the Auditors.

e) Discuss and agree on Audit findings with Audit Team.

f) Perceive the Audit findings positively, implement the necessary Correction, Corrective Action in a timely manner and submit the Objective Evidence for Proper closeout.

6.6 OBSERVER

a) The role of observers is to assess the effectiveness of the Audit team and the Audit process.

b) Observers accompany Auditors and witness Audit activities but does not act as an Auditor.

c) The observer shall not interfere in any aspect of the Audit (may not inject, provide opinions, argue a finding, speak for or against a finding, use the Audit information) without the permission of the Lead Auditor / Audit Team Leader.

d) The Observer could be an Internal representative or External representative ie., Client / COMPANY".

7.0 PROPOSED AUDITS

7.1 INTERNAL AUDITS

As a minimum EPCm CONTRACTOR shall conduct the internal audits at 30%, 60% and 90% for Engineering, Procurement, Construction stage and Commissioning stage, as applicable Focusing on specific risks as relevant to each stage. EPCm CONTRACTOR shall submit its detailed audit agenda, schedule, and checklists (including audits on Sub-Contractor's / Vendors) to COMPANY in 10 working days advance. Any rescheduling of the audits will be formally informed to COMPANY well in advance.

The internal Audits will be performed upon reaching the desired Progress, if any unexpected delay in Engineering Progress, the Audit will be rescheduled until the Progress reaches. Company representative can be part of the Audit as Observer.

All Audits planned to be conducted by Wood shall be added to Wood ATRAC system and status shall be updated as per ATRAC system requirements.

Focus audits will be planned on critical processes where necessary.

Table 77-1: Schedule of Audit

S. No.	Description	Stage of Project
1	Internal Audit 1	30% Engineering Phase
2	Internal Audit 2	60% Engineering Phase
3	Internal Audit 3	90% Engineering Phase
4	Internal Audit 4	30% Procurement Phase
5	Internal Audit 5	60% Procurement Phase
6	Internal Audit 6	90% Procurement Phase
7	Internal Audit 7	30% Construction Phase
8	Internal Audit 8	60% Construction Phase
9	Internal Audit 9	90% Construction Phase
10	Internal Audit 10	Commissioning Stage
11	Internal Audit 11	50% PEER Technical Audit Engineering Phase

7.2 Technical Audits

A Technical Audit will be carried out at 50% of the project progress by a Peer technical team of the EPCm CONTRACTOR for technical compliance during Detailed Engineering and suggest improvements on the Engineering Design & deliverable.

Technical Audits shall be planned by the Engineering Director. Technical Auditor's will be supported by Lead Quality Assurance Auditor.

7.3 Construction Contractor / Subcontractor Audits

EPCm shall carry out Audits during the construction phase on CONSTRUCTION CONTRACTOR / SUBCONTRACTOR:

a. All Site Subcontractors - At 30%, 60% and 90% of Construction progress of their scope of work for each Subcontractors including Site NDE Subcontractors

b. On Piping & Pipe Support Pre-Fabrication Shops, structural fabrication shops, Concrete Pre-Cast yard, Painting/Coating Shops, Galvanising Shop, - One Audit at 50% of Subcontractor Progress- may be done depending on performance and quality of production.

7.4 Vendor Audits

Pre-award quality audits / shop audits are undertaken based on any needs identified as a result of the reviews conducted on proposed vendors / Supplier's Quality management system and technical evaluation results prior to PO award.

The COMPANY may also propose audits in the following circumstances:

When vendor / supplier had a history of inadequate capability, poor Quality or failures with COMPANY or other operating companies.

When vendor / supplier has not supplied material to COMPANY before

Pre award audits or During Manufacturing audit are normally undertaken on Critical equipment's and materials with criticality rating (1) and (2) or others when deemed necessary by COMPANY

EPCm CONTRACTOR will conduct Vendor Audit for major critical vendor where necessary prior to award of contract / purchase order as per COMPANY guidance.

During the technical bid evaluation stage and pre-contract award, EPCm CONTRACTOR will request the following documentation from the bidder.

Quality Management System Certificates of compliance with ISO 9001 certificate provided by accredited independent body covering the intended SOW and the specific locations of the VENDOR / SUB-CONTRACTOR that are going to be utilized during the execution of all the project works for the Criticality Rating (1) and (2).

The list of general quality management procedures applicable to the contract.
Project documentation and records, quality control procedure.
Internal audit procedure with the list of qualified auditors.
Corporate & Project Quality Organization.
Audit schedule for previous two years showing planned and completed audits.
Preliminary project Quality Plan specific to the Project.

7.5 Audits by COMPANY

a) COMPANY may perform Post Mobilization quality audit after (1-3 months) from the contract award date in order to ensure EPCm CONTRACTOR readiness in terms of resources and team mobilization and to highlight any short falls at early stage of the project.

b) COMPANY may conduct quality system compliance audit on the EPCm phases for Engineering, Procurement, and Construction activities at least 2 times as minimum at 30-40% and 60-70% of project progress.

COMPANY also May conduct a follow up external audit after mechanical completion (after pre-commissioning but before commissioning) to ensure all the findings of the previous audits are closed before commissioning and handover to operation.

COMPANY may also perform unplanned Quality and Technical compliance audits or Focused Assessment on critical functions and current negative trends of performance for reported disciplines or processes on the EPCm CONTRACTOR and Sub-CONTRACTOR works. EPCm CONTRACTOR shall provide assistance and access to their systems and VENDOR /SUB-Contractor systems as required.

Table 77-5: Schedule of Company Audit

S. No.	Description	Stage of Project
01	Company Audit	Post Mobilization
02	Company Audit	30% to 40% EPCm Phase
03	Company Audit	60% to 70% EPCm Phase

7.6 Audits by Independent Third Party

EPCm CONTRACTOR may conduct an independent quality system compliance audit through independent Third-Party Agency during EPCm phase for Engineering, Procurement, and Construction in addition to its own internal audits at 25% of overall project progress and another external audit after mechanical completion (after pre-commissioning at 95% overall progress but before commissioning) of the project.

7.7 CORRECTION AND CORRECTIVE ACTION

Any non-conformance recorded will be shared with COMPANY as applicable. EPCm CONTRACTOR shall maintain a CAR Register for monitoring of Close-Out. The CAR Register shall be updated and submitted as part of monthly reports.

Correction and Corrective Actions shall be managed in the EPCm CONTRACTOR's Management System tool (ATRAC) database. Correction and Corrective Action Management System shall be used to capture the following record types.

a) Non-Conformity Reports (NCR)

b) Improvement Action (IA) / Observations

c) COMPANY Feedback (CFB)

d) Lessons Learned

All NCRs and IAs with Corrections and Corrective Actions shall be captured in the ATRAC. Management System tool which allows to capture of improvement actions highlighted both internally and externally from execution of work by EPCm CONTRACTOR. These actions are the result of improvements identified from any of the following:

a) COMPANY feedback

b) Audits & reviews

c) Management/Project reviews

Details of the actions are as below:

Non-Conformance (Internal and External): The non-fulfilment of a stated requirement associated but not limited to the following (will be formally issued to COMPANY and tracked through EPCM CONTRACTOR'S management system tool ATRAC till proper closeout):-

a) Company policies, standards, processes, procedures, etc.

b) International/national standards and specifications

c) COMPANY specifications or Contract requirements

d) Local regulations/legislation

Should any of the actions be of a sensitive nature, audits and actions will continue to be registered and tracked in ATRAC, but any sensitive content will be redacted & managed external to the system, with appropriate access control applied. Any actions which are captured in the ATRAC Management System tool shall first be agreed with the proposed actioner. Agreeing the content and proposed action is essential to ensure mitigating actions are effectively assigned and deployed. Prior to closure, all actions taken shall be reviewed (as a minimum) with the action originator and ATRAC Management System tool to ensure they address the root cause of the issue/non-conformity. For all COMPANY issued Non-Conformances, Engineer to submit resolution within 72 hrs & close out within 1 month or as agreed with the COMPANY.

Observations: Defined as a Minor isolated incident / failure or lapse in the system or a potential non-conformity in some part of project / Contract requirements.

Observations are to be closed and submitted to COMPANY for final closeout.

Improvement Action: A clear opportunity to improve the effectiveness or efficiency of our ways of working. Will be formally tracked through EPCm CONTRACTOR'S ATRAC system till proper closeout.

Product Non-Conformance related to vendor, EPCM Construction sub-subcontractor will be tracked separately in excel sheet.

7.8 AUDIT AGENDA

Agenda is to include detailed overview of scheduled activities throughout the Audit. Terms of reference shall be developed by the lead Auditor and issued to the Project Quality Assurance Manager.
Audit Team Leader shall issue and communicate the Audit Plan before the Audit addressing the following as minimum:

7.9 AUDIT PLAN

a) Audit Objectives.

b) Audit Scope, including functions, / processes to be Audited.

c) Audit Criteria and any reference documented information.

d) Location (physical and virtual).

e) Audit date(s), expected time and duration of Audit activities, including the timing for opening & closing meeting.

7.10 AUDIT NOTIFICATION

Audit notifications are sent out to Company as per AGES requirement (15 days prior to audit)

before the engagement for Audits. The Audit notification communicates to Authority for performing the Audit, the scope and the overall objectives.

Audit notifications are sent out in advance as required by policy, to applicable Audit team members (Auditor and Auditee) for the engagement for Audits.

7.11 OBJECTIVES

a) Provide an objective assessment to which the Project has been developed and implemented by EPCm CONTRACTOR.

b) To capture successful Quality program implementations and identify program gaps for future.

c) Share best practice from other EPCm CONTRACTOR.

7.12 SCOPE AND CRITERIA

Audit Team Leader shall issue and communicate the Audit Plan before the Audit addressing the following as minimum:

a) The sponsor of the Audit

b) Owner of the Audit report.

c) The Audit process (documentation, field and interview)

d) The areas of interest as per Contract documents, PQP, PEP, Project Procedures, Project Specification, and ISO 9001.

7.13 SELECTING THE AUDIT TEAM

An Audit team should be selected, taking into account the competence needed to achieve the objectives of the Audit.

In deciding the size and composition of the Audit team, consideration should be given to the following:

a) Audit objectives, scope, criteria, and estimated duration of the Audit.

b) Whether the Audit is a combined or joint Audit.

c) The need to ensure the independence of the Audit team from the activities to be Audited and to avoid conflict of interest.

d) The ability of the Audit team members to interact effectively with the Auditee and to work together.

e) The language of the Audit, and an understanding of the Auditee's particular social and cultural characteristics.

EPCm CONTRACTOR will submit the certificates and audit experience details of the lead

Auditor and other discipline specialist auditors for COMPANY information before conducting the audit

The Lead Auditor should have the following minimum requirements

Bachelor of engineering in a relevant discipline.
Certified by IRCA or equivalent Lead Auditor.
Strong knowledge and experience in leading Project Quality audits.
Strong coordination and reporting skills.
Fluent English lingual skills.

7.14 ESTABLISHING INITIAL CONTACT WITH THE AUDITEE

The initial contact for the Audit with the Auditee (typically the project manager) will be made by the lead Auditor. The purpose of the initial contact is:

a) To establish communication channels with the Auditee

b) To confirm the authority to conduct the Audit.

c) To provide information on the proposed timing and Audit team composition.

d) To request access to relevant documents, including records.

e) To determine applicable site safety rules.

f) To make arrangements for the Audit.

g) To agree on the attendance of interviewees and the need for guides for the Audit team.

h) Conducting the Opening meeting

7.15 CONDUCTING THE DOCUMENT REVIEW

Requested records and previous Audit reports should be reviewed to determine the complexity of the project scope. In some situations, this review may be deferred until the on-site activities commence, if this is not detrimental to the effectiveness of the conduct of the Audit.

If the documentation is found to be inadequate, the Audit team leader should inform the Auditee, and those assigned responsibility for managing the Audit program

7.16 AUDIT EXECUTION

7.16.1 Conducting the Opening Meeting

a) Typically, audits will have an opening meeting

b) The opening meeting is chaired by the Lead Auditor and include key individuals identified to participate in the audit

c) in line with the terms of reference as far as reasonably practicable.

d) The opening meeting covers general introductions, the scope and purpose of the audit, timings, audit method and

e) confirmation details of the 'Closing Meeting'. It will also allow the auditee the opportunity to ask questions and gain

f) any final clarifications.

7.16.2 Communication During the Audit

a) Where the audit scope is extensive and supported by multiple auditors it may be necessary to establish formal arrangements for communication within the audit team and auditees.

b) Where the audit extends over several days / weeks it is seen as best practice to hold regular briefing meetings to summarize the outcomes of audit activity and agree findings to that point. This can be fed back to the auditee at the discretion of the Lead Auditor (the approach should be agreed during the audit opening meeting).

c) Where evidence collated during the audit suggests an immediate or significant risk (e.g., safety or integrity) this should be reported immediately without delay to appropriate personnel to ensure the risk can be contained

7.16.3 Collecting and Verifying Information

a) During execution of the audit, evidence can be collected through several sources as part of the sampling undertaken.

b) These sources may include interviews, sighting of documents such as contained in the management system,

c) deliverables produced as a result of a process, reports, etc. Where appropriate and permitted, recording photographs (e.g. during a site audit) to evidence a sighted practice or finding is promoted.

d) It is important to note that only information that is verifiable may be used as evidence during the audit process.

e) Wherever possible during the sampling and verification process, if a finding is identified it should be brought to the auditee's attention at that time. (Note: the auditor's discretion may be required depending on the circumstances and sensitivity of the finding identified.)

7.16.4 Sampling

a) To confirm acceptable positions of compliance during audits it is vital that we test the implementation of our processes through effective sampling.

b) Sample sizes should correlate with the level of confidence that is required to ensure a process is effective, for instance, for business critical and high-risk processes, then a larger sample size is required to be confident that the process is truly effective. If a

small sample indicates the potential for a systemic issue, then the auditor will consider the expansion of the sample size to verify the extent and criticality of the issue.

c) Details of the sample size on which the audit findings are based should be stated within the audit report and have been considered during the audit preparation.

7.16.5 Developing Audit Findings and Conclusions

a) It is the responsibility of the Lead Auditor (with the support of their team, as appropriate) to agree and develop audit findings. All findings must be developed avoiding generalities, opinions, and unsubstantiated facts and be recorded in ATRAC to ensure visibility of record numbers in the issued report.

b) All findings will be assigned a priority based on risk/value which considers aspects including safety, reputation, project delivery, financial, regulatory or compliance considerations.

c) All findings must be reviewed with the relevant auditees to obtain acknowledgement of the audit evidence, that the evidence is accurate and that the finding is a logical result of the evidence collected. This must be completed prior to issuance of the final report and preferably before the audit close-out meeting.

d) Audit findings are recorded individually and supported by audit evidence. It may be that during a review of evidence the auditor finds several findings of a similar nature, e.g., missing competence records, these similar findings are in effect evidence of a systemic issue, and it is the systemic issue that should be reported.

7.17 PREPARING AUDIT CONCLUSIONS

The Audit team should confer prior to the closing meeting.

a) To review the Audit findings and any other appropriate information collected during the Audit, against the Audit objectives.

b) To agree on the Audit conclusions, taking into account the uncertainty inherent in the Audit process.

c) To prepare recommendations, if specified by the Audit objectives.

d) To discuss Audit follow-up, if included in the Audit plan.

7.18 CONDUCTING THE CLOSING MEETING

A closing meeting, chaired by the Audit team leader, shall be held to present the Audit findings and conclusions in such a manner that they are understood and acknowledged by the project, and to agree, if appropriate, on the timeframe for the Project Management Team (PMT) to present an action plan.

Participants in the closing meeting should include the Project Management Team (PMT) and Auditees.

Any diverging opinions regarding the Audit findings and/or conclusions between the Audit team and the project should be discussed and possible resolved.

Any findings that require urgent attention due to level of risk shall be communicated to the Project Management Team (PMT) during closing meeting for immediate action.

7.19 AUDIT REPORT

Reporting requirements will be agreed with management and coordinated by the function responsible for maintaining the program (normally the quality function). Typically, this reporting will cover any changes to planned activities, the status of audits executed / reported (including high level conclusions where an audit has been completed). This reporting should be undertaken on a regular basis as part of the regular management reporting structure. It is vital that reporting is established at all appropriate levels of the organization and that the cadence of these reports is effective in providing senior leaders with information and data from which to make factually based decisions. An audit report template sample has been created and is available in APPENDIX-2

The audit Team shall issue a report detailing the Audit outcomes along with evidence.

The report will categorize the findings as follows.

a) Note Worthy Points: Any practices / positive findings that are worth mentioning or deserve sharing as best practice with other projects.

b) Non – Conformance.

   Major NC - The absence or total breakdown of a Project Quality Management System, other NC will be classified as Minor NC.

c) Observations: Defined as a Minor isolated incident / failure or lapse in the system or a potential non-conformity in some part of project / Contract requirements.

d) Improvement recommendations

7.20 PREPARING THE AUDIT REPORT

The lead Auditor shall be responsible for the preparation and contents of the Audit report.

The Audit report shall provide a complete, accurate, concise and clear record of the Audit, and shall include or refer to the following:

a) The Audit objectives

b) The Audit scope

c) Identification of Audit team leader and members

d) The dates and places where the on-site Audit activities were conducted.

e) The Audit criteria

f) The Audit findings and Agreed Actions

g) The Audit conclusions.

7.21 APPROVING AND DISTRIBUTING THE AUDIT REPORT

The Audit report shall be issued within the agreed time period. If this is not possible, the reasons for the delay shall be communicated to the project and a new issue date shall be agreed.

The Audit report shall be reviewed and signed by the Project Director (PD) / Project Management Team (PMT). The Project Director / Project Management Team shall assign the responsible parties and establish a close-out date for each agreed Actions.

Audit Report shall be uploaded in Wood ATRAC system and Actions will be assigned to Action Owners

7.22 ACTION FOLLOW-UP AND CLOSE OUT

Upon receipt of the Audit report, within two weeks Auditee shall submit the Audit close-out action plan detailing the target close-out dates and proposed corrective actions for COMPANY Audit Team review and acceptance. In case of an extension to the previously agreed action closeout date, the Auditee shall provide a valid reason for the extension and obtain the COMPANY Audit Team Leader's acceptance.

On satisfactory completion of Actions, the Auditee shall provide evidence to the Audit Team Leader to close out the agreed action. Upon satisfactory review of close-out evidence, the Audit Team Leader will close out the Audit findings and the Auditee will be notified.

If required, follow up audits may be planned and executed on critical processes or to review effectiveness of actions taken.

7.23 AUDIT ANALYSIS

Audit analysis shall be carried out periodically and key themes or trends arising from audit and review activities shall be documented within regular Management reporting frameworks (including Project Management system review).

8.0 APPENDIX

1. AUDIT SCHEDULE (NOTE- AUDIT SCHEDULE IS LIVE DOCUMENT, WILL BE UPDATED AS AND WHEN REQUIRED-STANDALONE DOCUMENT)
2. AUDIT REPORT FORMAT

APPENDIX-01 AUDIT SCHEDULE (STANDALONE DOCUMENT)

NOTE- Audit schedule is live document, will be updated as and when required

PROJECT QUALITY AUDIT SCHEDULE (INTERNAL)

				2025				2026												2027												
S/N	Project Name	Project No.	Project Duration	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	June	July	August	Sep	Oct	Nov	Dec	Remarks
1	Project P5.0 EPCM	30201-50150-LT-HE (EPCm CONTRACT NO.: 3000076501)	EPCM Engineering Audit		30%				60%					90%																		
			EPCM Procurement Audit									30%				60%				90%												
			EPCM Construction Audit															30%					60%				90%					
			EPCM Technical Audit (Engineering)					50%																								
			Pre commissioning and Commissioning																											90%		

Note :

The Audit date Proposed based on the Baseline schedule, Audit will be carried out upon reaching desired Progress, Hence the Audit date are tentative, it will be updated if any changes in the Actual Engineering Progress.

Internal Audit will cover applicable Construction Contractor, Sub-Contractor

Legends

- Audit Planned Dates
- Audit Completed
- Audit Overdue
- Audit Revised Planned Date

PROJECT QUALITY AUDIT SCHEDULE (COMPANY)

S/N	Project Name	Project No.	Customer	Project Duration	2025									2026												2027						Remarks
					Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	
1	Project P5.0 EPCM	30201-50150-LT-HE (EPCm CONTRACT NO.: 3000076501)	ADNOC Gas	Company Engineering Audit		Post Mobilization Audit					30 to 40%					60 to 70%																
				Company Procurement Audit														30 to 40%				60 to 70%										
				Company Construction Audit																				30 to 40%					60 to 70%			

Note : The Audit date Proposed based on the Baseline schedule, Audit will be carried out upon reaching desired Progress, Hence the Audit date are tentative, it will be updated if any changes in the Actual Engineering Progress.

Legends

- Audit Planned Dates
- Audit Completed
- Audit Overdue
- Audit Revised Planned Date

APPENDIX-02 AUDIT REPORT FORMAT

Audit Report

wood.

Audit Details					
Audit Title	Insert title here to align with ATRAC				
ATRAC Ref No.	AA-XXXX (Case number generated by ATRAC)				
Project Ref No.	Insert Project number where required (row can be deleted if N/A)				
Audit Duration	Fieldwork Start Date DD/MM/YYYY	Fieldwork End Date DD/MM/YYYY			
Audited Organisation	Enter Business Unit/Business Group and/or contract/Project etc information here				
Lead Auditor:	Insert name and title				
Summary of Findings	**High Priority**	Total NC's	**#**	Total IA's	**#**
	Medium Priority	Total NC's	**#**	Total IA's	**#**
	Low Priority	Total NC's	**#**	Total IA's	**#**
	Total NC & IA Findings	#			

Revision Record						
Rev	**Description**	**Author**		**Reviewed by**		**Acknowledged by**	
A1	Issued for comment	Insert name and title		Insert name and title		Insert name and title	
		Initials	Date	Initials	Date	Initials	Date
R0	Final Report Issue	Insert name and title		Insert name and title		Insert name and title	
		Initials	Date	Initials	Date	Initials	Date

Report Distribution	
Name	**Position**

Audit Report

1.0 Purpose & Scope

Insert Audit Purpose here

Example only - The purpose of this audit is to validate that the Risk Management Standard requirements and delivery assurance absolutes are embedded within the XXX Project and verify the effectiveness of the processes and controls that the business currently has in place to identify and mitigate the impact of HSSE and delivery (including quality and technical) risks to the Wood business.

This audit was agreed with the "insert relevant senior manager here", and based on "insert justification of the audit based on appropriate risks here."

The scope of the audit focused on the "insert locations and sites visits and boundaries of the audit as applicable."

Scope should reflect the agreed Terms of Reference

Insert any exclusions here for example "as operations and maintenance is not part of this businesses scope this assurance absolute was not covered."

2.0 Executive Summary

Insert Executive Summary here i.e., a short narrative on the overall key points raised both positive and negative and any specific contextual considerations (e.g., business has recently gone through a significant organisational change)

This section should also summarise any findings agreed as being raised.

3.0 Report Findings

Insert here the information (by exception) to support the executive summary and conclusions drawn.

This should be short and punchy, factual, and informative.

This section should also provide the detailed information to support the agreed findings raised.

3.1 Sub-header if required.

Audit Report

4.0 Agreed Findings

ATRAC Record No.	Priority	Type	Detailed Finding	Accountable Person
TBC	**H**	**NC / IA**	*It is best practice to define all findings using a 5W / 2H approach.* ➢ ***What*** *– what occurred and what problems/opportunities arose as a result.* ➢ ***Who*** *- who identified the problem/opportunity and who is impacted.* ➢ ***Why*** *- why is this a problem/opportunity/risk?* ➢ ***Where*** *– which site, location, area, project, business group, etc. did this problem/opportunity occur and other areas possibly impacted if this is not a local problem.* ➢ ***When*** *– provide details of the date and/or times the problem/opportunity arose.* ➢ ***How*** *– define how the incident/opportunity was uncovered – i.e. it was during the audit.* ➢ ***How Much*** *– provide details on the potential cost of the non-conformance and breadth of the exposure or potential saving arising from the opportunity – is this limited to a single product or could multiple products be affected.*	
TBC	**M**	**NC / IA**		
TBC	**L**	**NC / IA**		

5.0 Glossary of Terms

5.1 Abbreviations

E.g. HSSEA	Health, Safety, Security, Environment & Assurance

5.2 Definitions

Term	Definition
Correction Action	Action to eliminate a detected non-conformance (source ISO 9000) "Correction". Usually this is the action taken to address the immediate symptom - e.g. replace a faulty product.
Corrective Action	Action taken to eliminate the cause of a nonconformity (source ISO 9000) and to prevent recurrence. Corrective action is usually a longer-term action that addresses the root cause e.g. update to a management system document. Note 1 - There may be multiple corrective actions required to address a NC Note 2 - Corrective Action is taken to prevent recurrence (after the NC event), whereas an Improvement Action is raised to prevent the event in the first instance.
Finding	Results of the evaluation of the collected audit evidence (Source ISO9001:2015). Findings may be positive or negative. Where findings are negative or indicate an agreed need to improve these are captured as nonconformities or improvement actions and documented in the audit report and raised in ATRAC where deployed.
Improvement Action (IA)	An opportunity to improve the effectiveness or efficiency of our ways of working.
Non-Conformance (NC)	Non-fulfilment of a requirement (source ISO 9000).

5.3 Audit References

Number	Title / Description
E.G. ISO 9001: 2015	

6.0 Appendices

6.1 Appendix 1 – Finding Rating Criteria

Risk	HSSE	Reputational	Project Delivery	Financial	External regulation	Compliance
Low	A potential risk of minor personal injury/ill health, property, company, or environmental damage, i.e., first aid case	Potential for short-lived adverse coverage in local media. NCR received from Client or negative client feedback on survey, etc.	Potential or actual risk to limited compromise of technical integrity and schedule impact (either adjustments can be managed within the plan or minor schedule slippage, non-critical path activities late; or impact to critical path up to 1 week slippage	Risk of limited loss, fraud of financial misstatement Potential/actual financial loss/rework $<50K	Risk or non-reportable breach of relevant regulations or legislation	Limited noncompliance with industry MS standards, client requirements of Wood Policies and procedures
Medium	A potential risk of significant personal injury/ill health, property, company, or environmental damage, i.e., medical treatment case/Restricted work case	Potential for short lived adverse coverage in national media. Complaint letter received from client	Potential or actual risk to moderately compromised technical integrity and schedule impact 1-3 weeks schedule slippage	Risk of significant financial loss, fraud, or financial misstatement Potential/actual financial loss/rework $>50K or <$250K	Risk of reportable breach of relevant regulations or legislation	Persistent noncompliance with industry MS standards, client requirements or Wood Policies or procedures or an absence of expected policies and procedures
High	A potential risk of serious personal injury/ill health, property, company, or environmental damage, i.e., fatality	Potential for extended adverse coverage in national or international media. Significant claim received from client	Potential or actual risk to serious compromise of technical integrity and schedule impact (Increase critical part schedule by >3 weeks or key program event of milestone not achieved.	Risk of material financial loss, fraud, or financial misstatement Potential/actual financial loss/rework $>250K	Risk or serious and reportable breach of relevant regulations or legislation	Significant breach of industry MS standards, client requirements or Wood Policies or procedures or an absence of expected policies and procedures